



INDEPENDENCE POINT ADVISORS

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Company Overview

Who is Cloud Global?

Introduction:

- Cloud Global is a leading provider of cloud infrastructure and enterprise software supporting large-scale computing workloads
- Recently secured a \$200B, 8-year AI infrastructure contract with NextGen Labs to support next-gen AI models

Industry Growth:

- Expansion of AI, cloud computing, and hyperscale infrastructure is driving significant data center demand
- Companies such as Microsoft, Amazon, Google, & Meta are aggressively expanding AI compute capacity

Strategic Need:

- Cloud Global needs \$20B to build data center to support its AI infrastructure contract while near credit downgrade threshold
- The investment is critical to maintaining competitiveness in the global AI cloud market

Financial Overview

EBITDA (2025): \$23.9B

Total Debt: \$100B

Cash on Hand: \$9.2B

Current Credit Rating: 3.8x

* Near 4x downgrade threshold

SWOT Analysis

Advantages & Benefits

Strategy A - \$20B Debt Issuance

Strengths

- Keeps 100% ownership of data center and profits
- EBITDA of \$11.25B by 2027 (*45% margin on \$25B revenue*)
- Net Debt / EBITDA declines to ~2.2x by 2027

Weaknesses

- Total debt increases from \$100B to \$120B
- Higher leverage will attract scrutiny from rating agencies

Opportunities

- AI demand is growing quickly -> drive significant long-term revenue
- Full ownership will capture all upside from AI infrastructure growth

Threats

- If project underperforms, leverage could become a concern
- Rising interest rates could increase borrowing costs in the future

Strategy B - Partnership

Strengths

- Avoids adding new debt, preserving balance sheet
- Net Debt / EBITDA improves to 3.2x from 3.8x in 2027
- Risk is shared with an infrastructure partner

Weaknesses

- Give up a Gives up 50% of project EBITDA (\$5.6–5.7B annually)
- Reduced Long-term earnings and operational control

Opportunities

- Partnership makes it easier to expand additional data centers
- External investors bring additional capital & infrastructure experience

Threats

- Potential conflicts between Cloud Global and partner company
- Long term value erased for credit protection

Comparable Partnerships

Comparable Infrastructure Partnerships

Competitors:





Blackstone



Company	Partner	Capital Provided	Revenue Given Up	“Significant equity and certain revenue-sharing rights” — FTC Report, 2025
Intel	Brookfield	\$15B	49% facility revenue	“Billions of dollars in cloud commitments” — FTC Report, 2025
Intel	Apollo	\$11B	49% cash flow	Partnerships require 40-50% of revenue sharing EFN reduces leverage -> significant long-term costs While partnerships reduce balance sheet pressure, they sacrifice ~50% of long-term project value.
CoreWeave	Blackstone	\$7.5B	Revenue sharing	
Equinix	GIC	\$1B+	80% project yield	

Financial Modeling

Financial Impact Summary

Base Business EBITDA Projections						
	2025	2026	2027	2028	2029	2030
EBITDA	\$23,895	\$25,568	\$27,357	\$29,272	\$31,321	\$33,514
Data Center Projection						
	2026	2027	2028	2029	2030	2031
Revenue	\$0	\$25,000	\$37,500	\$50,625	\$60,750	\$65,610
EBITDA	\$0	\$11,250	\$16,875	\$22,781	\$27,338	\$29,525
Depreciation	\$0	\$2,000	\$2,000	\$2,000	\$2,000	\$2,000
Total EBITDA	\$25,568	\$38,607	\$46,147	\$54,103	\$60,851	\$63,038
Strategy A Financing						
Existing Debt	\$100,000	\$100,000	\$100,000	\$100,000	\$100,000	\$100,000
New Debt Issued	\$20,000	\$0	\$0	\$0	\$0	\$0
Total Debt	\$120,000	\$111,223	\$100,750	\$100,750	\$100,750	\$100,750
Cash	\$9,200	\$25,000	\$25,000	\$25,000	\$25,000	\$25,000
Net Debt	\$110,800	\$86,223	\$75,750	\$75,750	\$75,750	\$75,750
Credit Metrics						
Net Debt / EBITDA	4.33	2.23	1.64	1.40	1.24	1.20
Interest Coverage	3.87	6.31	8.33	9.76	10.98	11.38
Strategy B Financing						
Existing Debt	\$100,000	\$100,000	\$100,000	\$100,000	\$100,000	\$100,000
New Debt Issued	\$0	\$0	\$0	\$0	\$0	\$0
Total Debt	\$100,000	\$91,223	\$91,223	\$91,223	\$91,223	\$91,223
Cash	\$9,200	\$25,000	\$25,000	\$25,000	\$25,000	\$25,000
Net Debt	\$90,800	\$66,223	\$66,223	\$66,223	\$66,223	\$66,223
Credit Metrics						
Net Debt / EBITDA	3.55	2.01	1.76	1.55	1.40	1.37
Interest Coverage	4.65	6.57	7.52	8.51	9.40	9.62

- Data center generates \$25B revenue in 2027, growing 5% annually
- EBITDA margin of 45%,
- Base business EBITDA grows at 5–7%, aligned with hyperscale trends
- Strategy A assumes \$20B debt at 5.5–6.0% cost
- Strategy B assumes ~50% EBITDA sharing, based on comparable partnerships
- Excess cash is reinvested into infrastructure, maintaining ~\$25B cash balance

Despite a temporary leverage, Strategy A has greater long-term value and is a better financing option

Financial Recommendation

Recommendation based on analysis

Strategy A preserves profit while keeping leverage well below the 4.0x credit threshold.

Metric	Strategy A	Strategy B
Ownership	100%	50%
Debt Added	\$20B	\$0
Net Debt / EBITDA (2027)	2.23x	2.01x
EBITDA Captured	\$11.25B	\$5.7B

Recommended Strategy: Strategy A – Debt Financing

- Leverage is manageable: Peaks at ~4.3x before declining to **~2.2x by 2027**, below the 4.0x threshold
- Retains full profits: Cloud Global captures \$11.25B EBITDA vs. \$5.6B under a partnership
- Maintains control of AI infrastructure: Owning the data center supports long-term AI growth and competitive positioning

Appendix

Sources

- [Behind the FTC's 6\(b\) Report on Large AI Partnerships & Investments](#)